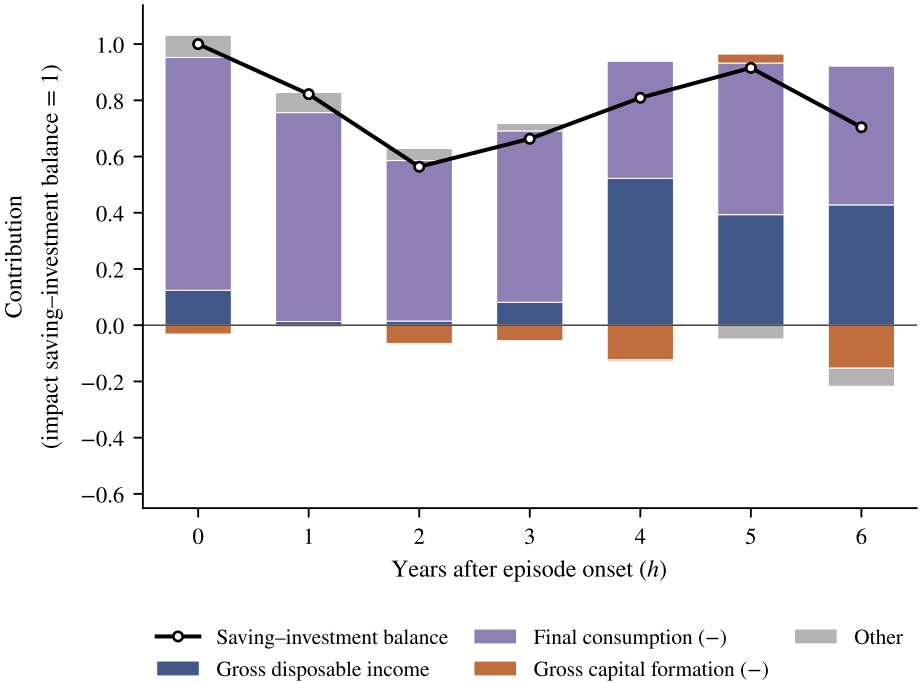
Figure 3. Decomposition of the household saving–investment balance



Notes: Point estimates for household episodes. Bars sum to the household saving–investment balance: gross disposable income minus final consumption minus gross capital formation (mainly dwellings) plus other items (pension-entitlement adjustment, non-produced assets and capital transfers). Vertical scale as in Figure 2. Episodes: country-specific top/bottom decile changes in the household saving rate with the consumption-share change exceeding the disposable-income-share change (households), or in the terms of trade with operating surplus moving in the same direction (corporations); increases and decreases pooled with signs aligned. Local projections with country and year fixed effects, estimated by two-step weighted least squares; 42 economies, 1970–2025. All regressions control for two lags of the change in the own-sector saving–investment balance.